

HOUSE BILL 653

By Hicks T

AN ACT to amend Tennessee Code Annotated, Title 2;
Title 3 and Title 67, relative to the bureau of ethics
and campaign finance.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 2-10-105(e)(1), is amended by
adding the following after the first sentence:

If a local election covers more than one (1) county, then the local candidate shall
file the certification of a political treasurer with the local election commission in
each county in which the local election occurs.

SECTION 2. Tennessee Code Annotated, Title 2, Chapter 10, Part 1, is amended by
adding the following new section:

All political campaign committees registered with the registry of election finance
shall pay an annual registration fee of one hundred fifty dollars (\$150) to the registry of
election finance upon registration and by no later than January 31 of each successive
year to partially offset the costs incurred by the registry of election finance in regulating
political campaign committees. Candidates for elective office are not required to pay a
registration fee in order to encourage persons to run for elective office.

SECTION 3. Tennessee Code Annotated, Section 2-10-102(4)(E), is amended by
deleting the language "one hundred dollars (\$100)" and substituting instead "two hundred fifty
dollars (\$250)", and by adding the words "or an entity's commercial" before the word "premises".

SECTION 4. Tennessee Code Annotated, Section 2-10-104, is amended by deleting the
section and substituting instead:

All statements required by this part must be signed by the person filing such statement under penalty of perjury. All statements required by this part to be filed electronically must be filed under penalty of perjury, and each filer is required to acknowledge such as part of the electronic filing process.

SECTION 5. Tennessee Code Annotated, Section 2-10-108(b)(1), is amended by deleting the last two sentences of the subdivision and substituting instead:

Alternatively, if the registry determines that the complaint is factually and legally sufficient and that the circumstances are appropriate, then the registry may order the registry's staff to conduct an investigation or investigative audit of the alleged violator's campaign finance disclosure reports. In such instances, the alleged violator is obligated to produce all documentation required to be maintained by § 2-10-105(f) and to comply in good faith and with total candor with all requests for documentation or clarification properly requested by the registry's investigator, auditor, or counsel. Alternatively, the registry, in lieu of conducting any investigation or audit, may proceed directly to a show cause hearing on the sworn complaint.

SECTION 6. Tennessee Code Annotated, Section 2-10-108(b)(2), is amended by deleting in the first sentence the language "either the attorney general's investigation or the audit" and substituting instead the language "a show cause hearing is ordered by the registry, or any investigation or audit".

SECTION 7. Tennessee Code Annotated, Section 2-10-114(b), is amended by adding the following as a new subdivision (3) and redesignating the existing subdivision (3) accordingly:

(3) Expenditures of campaign funds for the purposes of litigation to advance or support the candidate's nomination for election or election to office or to challenge the legitimacy of a potential opponent's candidacy is deemed not for personal use.

However, expenditures of campaign funds for the purposes of litigation to defend the candidate's standing or reputation in the community is deemed a personal use and is prohibited.

SECTION 8. Tennessee Code Annotated, Section 2-10-302(e)(1), is amended by deleting the second sentence and substituting instead:

A successful candidate for state or local public office who reports no outstanding loans or obligations may continue to accept contributions for the purpose of defraying officeholder expenses until the close of the reporting period following the date of the election of the officeholder's successor, not including the reporting period in which the election occurs.

SECTION 9. Tennessee Code Annotated, Section 2-10-302(e)(1), is amended by designating the existing language as subdivision (e)(1)(A) and adding the following as new subdivisions:

(B) A candidate for state or local public office, or an elected state or local official, may continue to accept contributions in excess of outstanding debts and obligations relating to an election between the date of the election and the close of the reporting period immediately following the reporting period in which the election occurred.

(C) Notwithstanding subdivision (e)(1)(B), a candidate shall not accept an in-kind contribution relating to an election after the date of the election, unless such in-kind contribution is of a nature that allows such contribution to be converted to a monetary value for the purpose of defraying outstanding debts and obligations incurred during that election.

SECTION 10. Tennessee Code Annotated, Section 2-10-306, is amended by deleting the section and substituting instead:

(a) It is the intent of the general assembly to recognize that political campaign committees controlled by a political party serve different and distinct purposes than other registered political campaign committees.

(b)

(1) Political campaign committees controlled by a political party or a caucus of such political party established by members of either house of the general assembly are not subject to the contribution limits established by § 2-10-302(b).

(2) A political campaign committee that is associated with a political party or a caucus of such political party established by members of either house of the general assembly, but not directly established, financed, maintained, or controlled by such political party or caucus, is subject to the limits established by § 2-10-302(b).

SECTION 11. Tennessee Code Annotated, Section 3-6-113, is amended by adding the following new subsection:

(d) The annual ethics training referenced in subsection (a) must also be provided by the Tennessee ethics commission to all department commissioners in the executive branch and all of the governor's cabinet level staff. Staff of the ethics commission shall coordinate with the governor's ethics counsel to identify all executive staff required to receive this annual training and to establish the location for this training. Such training must be offered on a date when the general assembly is in session, and the governor's ethics counsel shall notify impacted executive branch members of the time and location of this annual training. The manual referenced in subsection (c) must be made available to all executive branch officials taking this annual training.

SECTION 12. Tennessee Code Annotated, Section 3-6-202, is amended by deleting the section and substituting instead:

(a) Except as provided in subsections (b)-(d), all commission proceedings regarding a sworn complaint, including records relating to a preliminary investigation, are public records and are open to public inspection under title 10, chapter 7.

(b) All personal or professional financial records of the alleged violator are confidential and not subject to public inspection.

(c) All information related to a sworn complaint against a candidate in an election, as defined in § 2-10-102, is confidential and not subject to public inspection during the period from thirty (30) days immediately preceding the commencement of voting for that election through election day, unless the candidate requests in writing the disclosure of the information.

(d) If a member of the commission or member of the commission staff knowingly discloses information in violation of this section, then such disclosure is grounds for immediate termination of a staff member's employment or immediate removal of a commission member from office.

SECTION 13. Tennessee Code Annotated, Section 3-6-203(b)(1), is amended by deleting the first two sentences and substituting instead:

The commission may refer a factually and legally sufficient complaint to the office of the attorney general and reporter, who may conduct a preliminary investigation, or the commission may conduct its own investigation, or the commission may conduct a probable cause determination without first conducting an investigation. If an investigation is requested, the commission shall make a probable cause determination after the office of the attorney general and reporter completes its investigation and reports its findings to the commission.

SECTION 14. Tennessee Code Annotated, Section 67-4-1702, is amended by designating the existing language as subsection (a) and adding the following as a new subsection (b):

(b) Eighty percent (80%) of the privilege tax paid by registered lobbyists under subdivision (a)(1), beginning in fiscal year 2025, must be allocated to the budget of the bureau of ethics and campaign finance for purposes of replacing and updating its current information technology platforms and website and to further offset the costs of the bureau in performing its statutory responsibilities.

SECTION 15. Sections 2 and 11 of this act take effect on January 1, 2026, the public welfare requiring it. All other provisions of this act take effect upon becoming law, the public welfare requiring it.